Note 3.3 Corporate income tax

Analysis of the income tax expense

€ millions	30.06.2023	30.06.2024
Current income tax	(624)	(498)
Deferred income tax	(27)	(268)
TOTAL	**(651)**	**(766)**

Analysis of effective tax rate – Net profit from continuing operations before tax

€ millions	30.06.2023	30.06.2024
Operating profit	3,265	2,724
Financial income/(expense)	(326)	(437)
Taxable profit	**2,938**	**2,287**
Theoretical tax expense at the income tax rate in France	(759)	(591)
Impact of tax rate differences by jurisdiction	172	157
Tax impact of changes in exchange rates	17	2
Re-estimation of deferred tax assets linked to tax rate changes	(1)	1
Impact of tax losses used/not used	31	(14)
Impact of reduced/increased tax rates on taxable results	—	1
Taxes on distributions	(40)	(46)
Other impacts	(72)	(276)
Effective income tax expense	**(651)**	**(766)**
Effective tax rate	**22%**	**33%**

The increase in the effective tax rate is mainly attributable to the impairment of assets held for sale described in Note 6.7 – *Events after the reporting period*, recognised in other operating income and expenses and with no effect on the tax charge.

Deferred tax is recognised on temporary differences between the tax and book values of assets and liabilities in the consolidated balance sheet and is measured using the balance sheet approach.

Deferred taxes relating to right-of-use assets and lease liabilities are recognised on a net basis.

The effects of changes in tax rates are recognised in shareholders' equity or in profit and loss in the year in which the change of tax rates is decided.

Deferred tax assets are recognised in the balance sheet when it is more likely than not that they will be recovered in future years. In order to evaluate the Group's ability to recover these assets, particular account is taken of projections of taxable income determined by the Group at the end of each financial year.

All assumptions used, particularly growth in operating profit and net financial income or expense taking into account interest rates, are updated by the Group at the reporting date based on data determined by the relevant management teams.

Deferred tax assets and liabilities are not discounted to present value.

Deferred taxes break down by type as follows:

€ millions	30.06.2023	30.06.2024
Margins in inventories	200	190
Fair value adjustments on assets and liabilities	25	23
Provisions for pension benefits	59	39
Deferred tax assets relating to tax loss carryforwards	1,047	1,012
Provisions (other than provisions for pensions benefits) and other items	537	449
TOTAL DEFERRED TAX ASSETS	**1,870**	**1,713**
Accelerated tax depreciation	202	213
Fair value adjustments on assets and liabilities	2,739	2,744
Pension plan assets and other items	193	196
TOTAL DEFERRED TAX LIABILITIES	**3,134**	**3,153**

Tax loss carryforwards (recognised and unrecognised) represented potential tax savings of €1,272 million at 30 June 2024 and €1,284 million at 30 June 2023. The potential tax savings at 30 June 2024 and 30 June 2023 relate to tax loss carryforwards with the following expiry dates:

At 30 June 2023

	Tax effect of tax loss carryforwards € millions	
Year	**Losses recognised**	**Losses not recognised**
2023	0	5
2024	0	3
2025	0	3
2026	1	4
2027 and beyond	737	211
No expiry date	309	12
TOTAL	**1,047**	**237**

At 30 June 2024

	Tax effect of tax loss carryforwards € millions	
Year	**Losses recognised**	**Losses not recognised**
2024	3	6
2025	1	3
2026	6	4
2027	1	7
2028 and beyond	771	219
No expiry date	231	22
TOTAL	**1,012**	**260**

The Group's income taxes payable break down as follows:

(€ millions)	30.06.2023	30.06.2024
Other current tax liabilities	5	60
Uncertain tax positions	108	90
TOTAL CURRENT TAX LIABILITIES	**113**	**149**

Note 3.4 Earnings per share

Basic and diluted earnings per share are calculated on the basis of the weighted average number of outstanding shares, less the weighted average number of dilutive instruments. For the purposes of determining earnings per share, the average number of outstanding shares is equal to the weighted average number of outstanding shares less the weighted average number of treasury shares.

The calculation of diluted earnings per share takes into account the potential impact of the exercise of all dilutive instruments (such as stock options, convertible bonds, etc.) on the theoretical number of shares. When funds are obtained at the date of exercise of the dilutive instruments, the "treasury stock" method is used to determine the theoretical number of shares to be taken into account.

Numerator (€ millions)	**30.06.2023**	**30.06.2024**
Group share of net profit	2,262	1,476
Denominator (number of shares)		
Average number of outstanding shares	**256,048,280**	**252,595,588**
Dilutive effect of performance share grants	701,248	545,642
Dilutive effect of stock options	128,725	47,076
Average number of outstanding shares – diluted	**256,878,253**	**253,188,307**
Earnings per share (€)		
Earnings per share – basic	8.84	5.84
Earnings per share – diluted	8.81	5.83

Note 3.5 Expenses by type

Operating profit notably includes depreciation, amortisation and impairment expenses as well as employee benefits expense as follows:

€ millions	**30.06.2023**	**30.06.2024**
TOTAL DEPRECIATION, AMORTISATION AND IMPAIRMENT EXPENSE	**(466)**	**(936)**
Salaries and payroll costs	(1,565)	(1,664)
Pensions, medical expenses and other similar benefits under defined-benefit plans	(34)	(28)
Share-based payments	(44)	(45)
TOTAL EMPLOYEE BENEFITS EXPENSE	**(1,643)**	**(1,737)**